

NAVANA

ECO - LUXURY CABINS

Financial Modeling and Corporate Structuring Master Playbook

PARTNER ALIGNMENT

MATERIAL • CONFIDENTIAL

1. Business Definition And Investment Thesis NAVANA is a

PropTech / Hospitality platform designed to develop, deploy, and operate high-design, eco-friendly lodging ecosystems (tiny houses / cabins on trailers) optimized for short-term rentals. The roadmap focuses on scaling from a proof-of-concept (POC) to 1,000+ operational units internationally (Mexico and Caribbean) within 5 years, unlocking two high-yield financial exits:

- **Real Estate Exit:** Sale of stabilized cabin clusters to real estate funds (FIBRAs/REITs) priced on Cap Rate metrics.
- **Technology/Platform Exit:** Sale of the parent company (Operator and Brand IP) to a Venture Capital fund or Hospitality Conglomerate valued on EBITDA multiples.

2. Corporate Architecture (The Dual Model)

To insulate physical risk, optimize company valuations, and allow massive scalability without diluting core founders, the business is strictly divided into two distinct corporate vehicles:

A. NAVANA OpCo (Operating Company - "The Mind") Assets: Brand IP, booking engine software, architectural design, proprietary operational playbooks, and manufacturing technology. (Completely asset-light). **Revenue Streams:**

- Setup & installation markup per physical cabin deployed.
- Annual Brand Management Fee (\$30,000 MXN flat per cabin).
- Platform Revenue Share (15% platform fee on gross bookings driven via our proprietary OTA).

Valuation: Priced at premium asset-light tech and hospitality multiples (12x - 15x EBITDA).

B. NAVANA PropCo (Property Company - "The Muscle") Assets: Physical ownership of cabins on trailers, and land lease / joint-venture revenue-sharing agreements with landowners. **Revenue Streams:** Gross booking rents (driven entirely by Navana's direct booking OTA channel). **Structure:** Managed through regional Trust Funds (Fideicomisos) per cluster, operating under an institutional **Consolidated Rental Pool**. Investors (including Family Offices, Real Estate Funds, HNWI's, and F&F circles) provide construction CAPEX in exchange for unified equity shares or trust certificates. **Valuation:** Valued on institutional real estate metrics (Cap Rate of 10% - 12% upon bulk portfolio exit).

LAND ACQUISITION AND LOCATION STRATEGY (OPTIMAL CLUSTER SIZE): To maximize raw land search efficiency, streamline corporate administration, and optimize on-site hospitality operations (managed by OpCo), NAVANA exclusively sources land parcels capable of hosting an **optimal cluster size of 30 to 50 cabins**. This unified scale guarantees guests complete privacy and eco-luxury seclusion, while building the critical mass and operational efficiency required to comfortably exceed the occupancy targets set in PropCo's financial model.

3. The Great Logistic Pivot (Framecrete Technology) The traditional bottleneck to scaling to 1,000+ cabins was high freight costs and slow factory production. This is resolved through a joint venture with our **Industrial Manufacturing Partner**, utilizing a cutting-edge, decentralized industrial setup.

THE HYBRID PRODUCTION STRATEGY ("POP-UP ASSEMBLY YARDS"):

- **Framecrete Technology (CNC Light Steel):** Structures avoid heavy welding or artisanal labor. Cold-formed galvanized steel (Light Gauge Steel) is millimetrically extruded by robotic CNC machines (Framecrete) and assembled quickly using rivets in a modular "idiot-proof" setup.
- **Central Consolidation Hub:** A single master plant extrudes the Framecrete steel, packages them into flat-packs (IKEA-style flat shipping boxes), and consolidates bulk tech purchases (solar panels, smart home systems, luxury finishes).
- **Pop-Up Assembly Yards:** Temporary logistics bays are leased close to final cluster destinations (e.g., San Miguel, Jalisco, Caribbean). Shipping flat-packs costs pennies compared to hauling fully-built cabins. Local crews assemble the frame onto heavy-duty trailer frames, mount tech components, and transport the finished units directly to the land.

Financial Impact of the Partnership: Guaranteed **30% reduction** in baseline cabin manufacturing CAPEX compared to industry competitors.

4. Capital Structure And Partner Alignment (Cap Table)

NAVANA is currently structuring equity allocations and dilution rules for its executive roundtable. Corporate governance defines specific alignment tracks for each core partner class:

- **Founding Members (Patricio, Diego, Daniela):** Provide global branding, marketing strategy, proprietary booking OTA software, and overall development. They retain absolute corporate control of OpCo and build secure real estate wealth by optionally reinvesting OpCo cash reserves into PropCo physical assets.
- **Strategic Manufacturing Partner (Industrial Co-Founder):** Acts as a technical and operations cornerstone inside OpCo. Their contribution includes the industrialization of cabin architecture (Framecrete technology), central material supply chains, regional pop-up yard setup, local assembly supervision, and timeline optimization. Their OpCo equity is subject to a strict **vesting schedule** tied to the long-term achievement of the target 30% CAPEX reduction.
- **Pure Capital Investors (Family Offices, Real Estate Funds, HNWI's, & F&F):** Infuse liquidity directly into regional PropCo Trusts under a **Consolidated Rental Pool** structure. They enjoy outright fractioned property ownership, a high projected ROI of ~35-40% (EBITDA level), and exit appreciation, but DO NOT dilute the technology parent company (OpCo).

5. Unit Economics (Baseline Operational Figures)

UNIT METRIC	AMOUNT (MXN)	TECHNICAL / OPERATIONAL DETAILS
Fully-Equipped Cabin Cost (Manufacturing Partner)	\$525,000	Optimized fabrication cost, completely equipped and turn-key.
OpCo Markup Margin (Setup Fee)	\$26,250	Sourcing and assembly markup fee earned by Navana OpCo (5%).
Logistics, Delivery & Mobile Registration	\$35,000	Variable freight (quoted baseline for San Miguel de Allende). Includes flat-pack shipping, on-site crane staging, and road trailer registration.
On-Site Infrastructure & Utilities Prep	\$70,000	Civil land preparation, eco-biodigester, water cisterns, and on-site utility hookups.
Turn-Key Unit CAPEX	\$656,250	Total turn-key capital expenditures financed by PropCo real estate investors.
ADR (Average Daily Rate)	\$3,000	Target average nightly rate in Mexican Pesos (MXN).
Target Annual Occupancy Rate	55%	Conservative baseline occupancy rate (201 bookable nights per year).
PropCo Expenses Breakdown	18% + 10% + 15% (+ Operating Costs)	15% booking channel fee (OpCo) + 3% payment gateway / 10% gross landowner split / \$30,000 MXN brand fee. Also covers utilities, cleaning/supplies, localized staff payroll, asset insurance, and FF&E reserve.
Annual OpCo Brand Royalty Fee	\$30,000 / Year	Fixed annual royalty paid to OpCo per deployed cabin for brand usage.
PropCo Net Operating Margin	~44.2%	Year 1 net cashflow margin generated per cabin.

6. Group Financial Performance And Consolidated P&L (5-Year Plan) To evaluate the business ecosystem holistically, the table below consolidates the Group Income Statement (P&L), EBITDA contribution percentages, and the immense leverage unlocked through systematic cashflow reinvestment:

FINANCIAL LINE							
ITEM (MXN)	YEAR						
1	YEAR 2	YEAR					
3	YEAR 4	YEAR					
5							
1. CONSOLIDATED P&L							
PropCo Revenues			\$15,056,250	\$66,398,063	\$183,009,660	\$403,536,300	\$735,862,566
PropCo Expenses			\$9,199,988	\$39,620,109	\$106,704,358	\$230,036,117	\$410,366,457
PropCo EBITDA			\$5,856,263	\$26,777,953	\$76,305,301	\$173,500,183	\$325,496,109
OpCo Revenues			\$4,320,938	\$17,047,209	\$44,907,699	\$94,957,320	\$166,891,095
OpCo Expenses			\$2,881,953	\$11,063,216	\$22,156,290	\$38,956,528	\$59,602,768
OpCo EBITDA			\$1,438,984	\$5,983,994	\$22,751,409	\$56,000,792	\$107,288,327
Group Consolidated EBITDA			\$7,295,247	\$32,761,947	\$99,056,710	\$229,500,975	\$432,784,436
2. CONSOLIDATED EBITDA CONTRIBUTION SHARE							
PropCo Share %			80.28%	81.73%	77.03%	75.60%	75.21%
OpCo Share %			19.72%	18.27%	22.97%	24.40%	24.79%
3. CAPEX AND CAPITAL INTENSITY (LEVERAGE)							
Required PropCo CAPEX			\$32,812,500	\$68,906,250	\$144,703,125	\$227,907,422	\$282,377,296
Required OpCo Investment			\$2,881,953	\$0	\$0	\$0	\$0
TOTAL CAPEX & EQUITY ROLLOUT			\$35,694,453	\$68,906,250	\$144,703,125	\$227,907,422	\$282,377,296
Annual Cash Deficit / Surplus (Net Liquidity)			-\$35,694,453	-\$61,611,003	-\$111,941,178	-\$128,850,711	-\$52,876,321
% Systemic Expansion Reinvestment Leverage			—	10.59%	22.64%	43.46%	81.27%
OpCo Asset Purchase Capacity (Skin in the Game)			2 cabañas	9 cabañas	31 cabañas	74 cabañas	135 cabañas
Cumulative OpCo-Owned Cabins			2 cabañas	11 cabañas	42 cabañas	116 cabañas	251 cabañas (24.95%)

Dual Leverage and Wealth Generation Framework: To present an institutional-grade thesis, we break down system liquidity and asset acquisition into two key metrics:

- **1. Systemic Reinvestment Leverage (81.27% in Year 5):** Measures the consolidated ecosystem’s capacity to fund its own physical cabin expansion. It proves that upon reaching maturity, the combined network is virtually self-sustaining, requiring almost no raw external capital to continue growing.
- **2. OpCo Asset Acquisition Capacity (Skin in the Game):** Models the strategic decision of the tech operating company to utilize its dry powder (free OpCo cashflow / EBITDA) to absorb physical cabins inside PropCo. By Year 5, this optional model shows founders accumulating a high-yield portfolio of **251 fully-owned physical cabins (24.95% of the global network)**. This builds a debt-free real estate empire valued at **\$164.7M MXN**, funded entirely by technology platform royalties.

Unified Founder Exit Scenario (Year 5 - Sum-of-the-Parts / SOTP Valuation):

EXIT VALUE			
COMPONENT	ESTIMATED VALUE		
(MXN)	VALUATION		
METHODOLOGY			
Operating Company Valuation (OpCo)			Industry multiplier of 12x Tech EBITDA (\$107.2M)
	\$1,287,459,926	\$1,287,459,926	
Accumulated Real Estate Equity (PropCo)			24.95% share of total physical PropCo Assets (\$2.60B)
	\$649,796,443	\$649,796,443	
SUM-OF-THE-PARTS (TOTAL EXIT VALUE)			~110.5M USD realized value generated for founders
	\$1,937,256,369	\$1,937,256,369	

**Note: This sum-of-the-parts (SOTP) model showcases maximum flexibility. Founders are not legally locked into purchasing physical cabins, but it charts the sheer asset-creation power of deploying software commissions into physical properties.*

7. Funding Strategies And 5-Year Valuation Forecasts

The core corporate setup chosen today dictates the long-term funding roadmap, raw dilution profiles, and the final exit valuation of NAVANA:

Scenario A: Dual Structure (OpCo and PropCo) This architecture splits corporate capitalization into two independent, highly-targeted funding channels: **TRACK 1 - OPCO SEED CAPITAL (SOFTWARE AND RUNWAY)**

- **Target Raise:** \$3,500,000 MXN.
- **Use of Funds:** Immediate runway (booking engine software development, marketing setup, core operational staff).
- **Instrument:** SAFE note with a \$35,000,000 MXN Valuation Cap and a 20% discount (~10.0% post-conversion equity).
- **Year 5 Valuation:** At scale (1,004 active cabins), OpCo projects a \$107.2M MXN EBITDA. Applying a software multiplier of 12x EBITDA yields an OpCo value of \$1,287,459,926 MXN (\$73.57M USD). The seed investor's 10% share would grow to \$128.7M MXN, achieving a net 36.78x return.

TRACK 2 - PROPCO REAL ESTATE CAPEX (PHYSICAL CABINS)

- **Capitalization Vehicle:** Cluster-level Real Estate Trust Funds (Fideicomisos). Year 1 baseline construction CAPEX for the first 50 cabins stands at \$16,406,250 MXN (with a turn-key capitalized rollout of \$32,812,500 MXN).
- **ROI & Payback:** By Year 5, with 1,004 operational cabins, PropCo yields \$325,496,109 MXN in annual net income, producing an annualized 49.3% ROI paid pro-rata to unit-holders (average 2.03-year payback).
- **Valuation & Institutional Exit:** Valued as a stabilized, high-margin asset portfolio at 8x EBITDA, consolidated PropCo represents a \$2,603,968,872 MXN (\$148.80M USD) exit when acquired by an institutional buyer.

Scenario B: Single Consolidated Company In this monolithic model,

technology IP and heavy brick-and-mortar assets are bundled onto a single corporate balance sheet: **CONSOLIDATED CAPITALIZATION (DAY 1)**

- **Total Target Raise: \$19,906,250 MXN** upfront (\$3.5M for software runway + \$16.4M for initial physical cabin construction).
- **Aggressive Founder Dilution:** Because technology IP is not isolated, founders are severely diluted by construction capital on Day 1 to get the physical cabins built.

PERFORMANCE AND EXIT MULTIPLIER (YEAR 5)

- **Consolidated Year 5 EBITDA:** The combined ecosystem reports a total EBITDA of \$432,784,436 MXN.
- **Multiple Discount Penalty:** Carrying heavy capital-intensive physical property forces public markets to value the entire unified company as a traditional hospitality/hotel play, capping multiples at a penalized **6x to 8x EBITDA**.
- **Market Cap Destruction:**
 - At a 6x EBITDA multiple, the combined company is valued at **\$2,596,706,616 MXN**.
 - At a 8x EBITDA multiple, it is valued at **\$3,462,275,488 MXN**.
- **Value Destroyed vs. Option A:** Navana loses between **\$481.7M and \$1.34B pesos** in market value due to hospitality multiple discounts compared to the Option A sum-of-the-parts strategy.

STRATEGIC RATIONALE: WHY SCENARIO A IS THE ONLY PATH FORWARD The **Dual OpCo/PropCo** structure (Scenario A) is not just a bookkeeping preference; it is the core financial engine that guarantees NAVANA's long-term scale and risk mitigation across four pillars:

- **Optimized Capital Allocation:** Venture capital (designed for software and direct booking platform engineering) and real estate equity (stable, physical yield-seeking cash) carry completely different risk profiles. Bundling them confuses capital markets. Keeping OpCo light attracts pure tech VCs at exponential valuation growth rates, while funding PropCo's rollout using stable, yield-seeking physical asset investors.
- **Complete Dilution Insulation:** Trying to fund Day 1 cabin CAPEX on a consolidated balance sheet (Scenario B) requires a heavy upfront dilution pool of nearly \$20,000,000 MXN without a finished software product. This forces founders to yield control early. Under the Dual model, founders take a tiny, manageable dilution in OpCo for a \$3.5M MXN seed ticket, retaining absolute operating control.
- **Unlimited Global Scalability:** Free of heavy infrastructure debt, OpCo can deploy rapidly across domestic and foreign travel hotspots. Expanding the physical fleet is financed independently by PropCo regional trusts, preserving OpCo's corporate balance sheet and operational cash.
- **EBITDA Multiplier Arbitrage:** Upon a Year 5 exit, public markets heavily discount consolidated heavy operators with brick-and-mortar multiples (6x - 8x EBITDA). By cleanly bifurcating the exits, NAVANA unlocks maximum shareholder value by selling the technology platform (OpCo) at pure tech multiples (12x EBITDA) and the stabilized real estate fleet (PropCo) at high-yield property multipliers (8x EBITDA), creating an additional **\$1.29B MXN** in pure founder equity.

8. The Road To Wealth Creation: Optional Co-Investment

Frameworks To allow OpCo founders to build an extensive, cash-flowing physical cabin portfolio without deploying personal upfront liquidity, the dual model provides unparalleled structuring flexibility. The following three **optional models** can be deployed independently or combined as the brand scales:

Option A: Royalty Cashflow Reinvestment (Strategic Asset Accumulation) As NAVANA OpCo accumulates cash reserves (driven by software fees, markups, and brand royalties), the board can strategically deploy corporate dry powder to purchase physical cabins inside PropCo. **Ultimate Flexibility:** This is a completely optional framework. The financial model projects the maximum potential of this strategy (acquiring 24.95% of the fleet by Year 5), but founders can easily dial back or suspend reinvestment to prioritize dividends, localized ad spend, or software expansion. **Value Output:** Builds solid, hard-asset backing behind the tech operating company's valuation.

Option B: Carried Interest (Performance Sweat Equity) In clusters fully funded by heavy real estate institutional capital, NAVANA's operational excellence and brand performance are incentivized through carried interest clauses. **The Setup:** The contract dictates that once institutional investors recoup their raw capital and meet their preferred hurdle rate (e.g., 12% annualized return), an agreed share of leftover cashflow (e.g., 20%) automatically converts into direct, deeded property ownership for Navana's founders. **Value Output:** Yields high-value, direct property deeds for founders in exchange for premium site operations, protecting OpCo's balance sheet liquidity.

OPTION C: DISCRETIONARY CO-INVESTMENT (GP / LP ALIGNMENT): When structuring larger institutional development funds, founders serve as the General Partner (GP), and capital investors as the Limited Partners (LP). Instead of automatic allocations, founders can choose to deploy a tiny, highly targeted co-investment tranche (e.g., 1% to 5%) in premier clusters. This satisfies institutional mandates for "skin in the game" and aligns partner incentives, without constraining OpCo's working capital.

9. Advanced Manufacturing Plan: Pop-Up Assembly Yards

(Hub & Spoke) To scale quality control internationally while dodging the prohibitive highway freight costs of moving massive fully-assembled cabins, logistics are deconstructed into a hybrid Hub & Spoke framework:

- **The Central Tech Sourcing Hub (Consolidation):** A single fixed logistics plant handles bulk procurement of high-precision components, smart automation, and luxury finishes: smart solar panels, hybrid grid inverters, custom millwork, modular kitchens, pre-measured insulated panels, and designer furniture. These are systematically bundled into ultra-compact, flat flat-pack crates (**Tech-Kits**) and shipped regionally for a fraction of traditional freight costs.
- **The "Pop-Up" Regional Assembly Yards:** Our manufacturing partners strategically lease or joint-venture localized warehouse bays close to final cabin sites. Steel framing sections are delivered raw, mounted onto heavy-duty highway trailer frames, and assembled locally. Regional carpentry and installation crews build out the interiors under the direct, physical supervision of a certified NAVANA Quality Inspector to lock in build integrity.
- **The Standardization Quality Hack (Master Assembly Jigs):** To ensure absolute millimetric precision and rapid turnaround times across separate pop-up sites, our industrial partner deploys **Master Steel Assembly Jigs**. These heavy, calibrated structural guides guarantee that every steel joint, window trim, structural wall, and plumbing line fits the Tech-Kit components perfectly. This leverages local labor efficiently, speeds up production cycles, and cuts on-site material waste to virtually zero.

10. International Expansion Strategy (Scalability Without Borders)

One of the primary benefits of the **Dual OpCo/PropCo** structure and localized **Pop-Up Yards** is their immediate, frictionless replicability. When physical footprint or market absorption in Mexico reaches natural thresholds, the global playbook can be seamlessly deployed in new international markets:

The Global "Plug & Play" Scaling Framework:

- **Localized Sourcing Alliances:** Instead of shipping physical cabins across complex international borders, NAVANA OpCo simply exports technology, designs, and assembly IP. We establish strategic alliances with certified light-steel plants and modular fabricators in the destination country (e.g., USA, Colombia, or Costa Rica), training them to utilize our proprietary **Master Jigs** and build out the tech kits locally.
- **Localized Capital Pools (Country-Specific PropCos):** To fund physical rollout CAPEX in new markets, we structure regional Rental Pools and trusts with local Family Offices and real estate investment networks. The central operating company (NAVANA OpCo) manages the global booking technology and captures its un-diluted 15% booking royalties and brand management fees directly.
- **Pure Asset-Light Scalability:** This methodology completely insulates corporate operations from local real estate market fluctuations or currency risks. NAVANA positions itself as a premier, fast-deployment global eco-hospitality brand capable of entering new territories in a matter of months with zero centralized balance sheet debt.

11. Conclusion And Next Steps For Board Partners

The synthesis of the **Dual Corporate Model (OpCo/PropCo)** and the decentralized **Pop-Up Assembly Yards** represents the most agile, valuation-maximizing, and scalable

architecture in modern hospitality. It completely shields founders from capital-heavy physical debt, unlocks premium multipliers, and paves the way to securing long-term real estate wealth.